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BUSINESS • EARNINGS

Newmont Mining Swings to Annual Loss on Yanacocha Charges

Miner expects production of 4.9 million ounces to 5.4 million ounces this year, compared with 4.9 million ounces in 2016

By Maria Armental

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Newmont holds a controlling stake in the Yanacocha gold mine in Peru. DADO GALDIERI/BLOOMBERG

Newmont Mining Corp. NEM -3.26% ▼ swung to an annual loss and reported a wider quarterly loss on a large charge tied to the planned closing of the giant Yanacocha gold mine in Peru.

Colorado-based Newmont, the world's No. 2 gold miner by production, holds a controlling stake in the Peruvian mine.

On Tuesday, the miner said it now expects production to reach 4.9 million ounces to 5.4 million ounces this year, compared with 4.9 million ounces in 2016, with increased

production in Suriname's Merian mine and Long Canyon in the U.S. offsetting declines at Yanacocha.

Newmont affirmed its long-term production target of 4.5 million ounces to 5 million ounces.

Long term all-in sustaining costs, a closely watched metric that looks at the full cost of operating a gold mine, is projected to improve to a range of \$880 to \$980 an ounce, the company said.

Meanwhile, it estimated copper production at 40,000 to 60,000 metric tons, compared with 54,000 metric tons in 2016.

Fourth quarter gold production rose 13% to 1.3 million ounces, while the average realized gold price rose 9% to \$1,193 a troy ounce. Copper output, meanwhile, declined 7% to 13,000 metric tons, while average realized price rose 29% to \$2.49 a pound.

Over all, Newmont reported a loss of \$344 million, or 65 cents a share, compared with a year-earlier loss of \$254 million, or 50 cents a share. Excluding the impairment charge and other items, Newmont swung to a profit of 25 cents a share, compared with a year-earlier loss of 3 cents a share.

Revenue rose 23% to \$1.79 billion.

Shares, up 51% over the past 12 months, fell 1.7% to \$36.81 in after-hours trading.

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